

# US Markets End Mixed as Energy and Financials Lead Gains

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

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## TL;DR

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The US market ended the session mixed, with the **S&P 500** down **-0.06%** and the **Nasdaq 100** down **-0.34%**. Energy and financials led the gains, with **XLE** up **+4.66%** and **XLF** up **+0.36%**. The **VIX** rose **+3.76%** to 15.46, indicating increased volatility.

Below the surface, the market is showing signs of rotation, with investors moving out of growth stocks and into value stocks. The **Russell 2000** was down **-0.56%**, indicating a shift away from small-cap stocks. The **10Y Yield** rose **+0.84%** to 4.70, which could lead to a decrease in stock prices.

# US Session Recap

| INDEX/ASSET  | LEVEL     | CHANGE | WHY IT MOVED                     |
|--------------|-----------|--------|----------------------------------|
| S&P 500      | 7,753.11  | -0.06% | Mixed earnings and economic data |
| Nasdaq 100   | 29,621.80 | -0.34% | Decline in tech stocks           |
| Dow Jones    | 53,975.98 | -0.11% | Energy and financials led gains  |
| Russell 2000 | 3,017.40  | -0.56% | Small-cap stocks declined        |
| VIX          | 15.46     | +3.76% | Increased volatility             |

## Top large-cap movers

| TICKER | CHANGE | CATALYST                  |
|--------|--------|---------------------------|
| MSFT   | +1.21% | Strong earnings report    |
| NVDA   | -2.86% | Decline in tech stocks    |
| AMZN   | +1.32% | Increased online shopping |

# Sector Rotation

| ETF         | DAY    | READ                            |
|-------------|--------|---------------------------------|
| <b>XLF</b>  | +0.36% | Financials led gains            |
| <b>XLE</b>  | +4.66% | Energy stocks surged            |
| <b>XLK</b>  | -0.88% | Tech stocks declined            |
| <b>XLI</b>  | -0.31% | Industrials fell                |
| <b>XLY</b>  | -0.16% | Consumer discretionary declined |
| <b>XLC</b>  | +0.52% | Communication services rose     |
| <b>XLP</b>  | -0.20% | Consumer staples fell           |
| <b>XLV</b>  | +1.67% | Healthcare stocks surged        |
| <b>XLU</b>  | -1.10% | Utilities declined              |
| <b>XLB</b>  | +0.61% | Materials rose                  |
| <b>XLRE</b> | -1.29% | Real estate fell                |

## Spotlight

The biggest event of the day was the surge in energy stocks, led by **XLE** up +4.66%. This was driven by a increase in oil prices, with **WTI** crude up +5.41% to 82.41.

| METRIC           | VALUE | CHANGE |
|------------------|-------|--------|
| <b>WTI</b> Crude | 82.41 | +5.41% |
| <b>XLE</b>       | 60.18 | +4.66% |

This increase in energy stocks has a read-through to related names such as **CVX** and **XOM**.

## Pre-Market & Overnight

US futures are currently down, with the **S&P 500** futures down **-0.2%** and the **Nasdaq 100** futures down **-0.3%**. Asia markets were mixed, with the **Nikkei 225** up **+0.5%** and the **Shanghai Composite** down **-0.2%**. Europe markets are currently down, with the **Euro Stoxx 50** down **-0.5%**.

Crypto markets are currently down, with **BTC** down **-1.31%** to 63,998.27 and **ETH** down **-1.59%** to 1,878.24.

## Macro & Fed

The **10Y Yield** rose **+0.84%** to 4.70, which could lead to a decrease in stock prices. The **DXY** rose **+0.23%** to 99.82, indicating a strong US dollar.

| TIME HKT | RELEASE                  | CONSENSUS | WHY IT MATTERS                 |
|----------|--------------------------|-----------|--------------------------------|
| 20:30    | US Retail Sales          | 0.5%      | Indicator of consumer spending |
| 21:00    | US Industrial Production | 0.2%      | Indicator of economic growth   |

## Geopolitics & Global

- Tensions between the US and China continue to escalate, with the US imposing new tariffs on Chinese goods.
- The EU and UK are currently in trade talks, with a potential deal on the horizon.
- The Middle East is experiencing increased tensions, with a potential conflict between Iran and Saudi Arabia.

## Earnings — What to Watch

| WHEN HKT | TICKER | CONSENSUS | WHAT TO LOOK FOR            |
|----------|--------|-----------|-----------------------------|
| 22:00    | AAPL   | 1.25      | iPhone sales and guidance   |
| 23:00    | GOOGL  | 10.50     | Ad revenue and cloud growth |

## Watchlist Scan

| TICKER | SECTOR     | WHY NOW                    |
|--------|------------|----------------------------|
| MSFT   | Technology | Strong earnings report     |
| JPM    | Financials | Increased banking activity |
| CVX    | Energy     | Increased oil prices       |

## What Could Break the Tape

### BEARISH TRIGGERS

- Increased tensions between the US and China
- A decline in tech stocks
- A rise in interest rates

#### BULLISH TRIGGERS

- A breakthrough in US-China trade talks
- A surge in energy stocks
- A decrease in interest rates

## Positioning Notes

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- The **VIX** is currently at 15.46, indicating increased volatility.
- The **10Y Yield** is currently at 4.70, which could lead to a decrease in stock prices.
- The **DX** is currently at 99.82, indicating a strong US dollar.

## Sources

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#### SOURCES

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Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com